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The strategic importance of product adaptation in the video game industry

A case study based on Nordic video game companies

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Abstract

This study examines how video game firms strategically approach and implement product adaptation within international markets. The increasingly globalized and digitally interconnected video game industry operates across highly diverse cultural, regulatory, and institutional environments. Unlike traditional entertainment products, video games are interactive and continuously evolving through live-service systems, community feedback, and ongoing updates, creating strategic challenges regarding how firms balance global standardization with regional adaptation.

Using a qualitative and abductive research approach, the study is based on ten semi-structured interviews with professionals connected to Nordic video game companies and the broader international industry. The findings, analysed through the integration-responsiveness framework and localization theory, show that firms rarely redesign entire games for specific markets. Instead, adaptation primarily occurs through localization, monetization adjustments, regional marketing strategies, platform adaptation, and selective content modifications while maintaining globally standardized core products.

The study further demonstrates that localization increasingly functions as an integrated strategic capability rather than solely as a post-production translation activity. Regulatory and institutional adaptation related to censorship, platform requirements, data protection, age-classification systems, and monetization policies also emerged as increasingly important. Overall, product adaptation is best understood as a dynamic balancing process between global integration and selective local responsiveness.

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Key Concepts and Definitions

Concept	Definition
Live-Service Games	<i>Live-service games</i> refer to video games that continue evolving after release through ongoing updates, seasonal content, monetization systems, community interaction, and continuous developer support. Such games are often designed to maintain long-term player engagement over time.
Telemetry Systems	<i>Telemetry systems</i> refer to digital data collection systems used to monitor player behavior, gameplay patterns, engagement, and in-game activity. These systems are commonly used by video game firms to support balancing decisions, product adaptation, and player retention strategies.
Platform Ecosystems	<i>Platform ecosystems</i> refer to the digital distribution and technological environments through which video games are distributed and operated, such as console platforms, mobile storefronts, and online marketplaces. Platform ecosystems frequently impose technical, accessibility-related, and monetization-related requirements on developers and publishers.
Interactive Entertainment Industry	The <i>interactive entertainment industry</i> refers to entertainment industries where consumers actively interact with products and influence ongoing experiences through participation, feedback, and engagement. Within this study, the concept primarily refers to the video game industry and its continuously evolving relationship between developers, publishers, and player communities.
AAA Games	<i>AAA games</i> refer to high-budget video games typically developed and published by large studios with substantial financial, technological, and organizational resources. These games are often characterized by large development teams, extensive marketing campaigns, advanced production quality, and long development cycles. AAA games are generally developed for broad international audiences and frequently operate through large-scale live-service ecosystems or globally distributed platform environments.
AAA Production	<i>AAA production</i> refers to the large-scale development process associated with high-budget video games created by major game studios and publishers. AAA production is typically characterized by extensive development teams, significant financial investment, advanced technological infrastructure, long production cycles, and globally coordinated development and publishing processes. Within this study, AAA production also refers to the organizational and structural complexity that may limit the feasibility of large-scale regional product adaptation due to development costs, technological dependencies, and established player ecosystems.
User Interface (UI)	<i>User Interface (UI)</i> . This involves changing how software, games, or websites look and behave to improve readability, accessibility, or personal preference. This is mentioned in Figure 1.

1. Introduction

This introductory chapter establishes the foundation and background of the research topic. It begins by presenting the video game industry and outlining its development as a rapidly evolving industry. Then the chapter proceeds with a problem discussion, highlighting the complexity and dynamic nature of the video game industry. This is followed by a review of existing research, through which a research gap is identified. Based on this gap, the study formulates its research problem, presents its purpose and research question, and clarifies the delimitations of the study.

1.1 Background

Over the past two decades the video game industry has seen remarkable growth, becoming one of the largest entertainment sectors in the world. With revenues reaching 224 billion USD in 2024, the industry is larger than both the global movie and music industry combined, and is projected to grow to 300 Billion USD by 2029 (PWC, 2025). The true worldwide reach is reflected by the approximately 2.87 billion people across the globe who play video games (Statista, n.d.). The industry's growth has happened simultaneously with a fundamental shift in the distribution model. In the last 20 years the market has transitioned from being dominated by physical retailers, to an industry where 95.4% of all market revenue comes from digital sales (GamesIndustry.biz, 2024). This underscores the industry's transformation into a fully digital business. The shift has aided in lowering the barriers to global distribution, opening the worldwide audience to developers and publishers alike.

Despite this global reach, revenues remain heavily concentrated in specific regions. China and The United States account for 53.2 billion and 49.8 billion USD respectively (Newzoo n.d.), while the European market contributed 26.8 billion euros (Videogameseurope, 2024). This geographic concentration raises the fundamental strategic question, familiar across most industries, of standardization versus adaptation.

However, for the video game industry, this question takes on a different character. Video Games occupy an intersection between the technology & software industry and the entertainment industry, making the question of adaptation more complex than in many other sectors. Adaptation can involve both aesthetics, like tailoring visuals and themes, and

gameplay aspects, such as mechanics or genres, with the goal to cater to local audience preferences.

However, it also increasingly involves regulatory compliance. This takes the form of content restrictions with examples being: Chinese regulations on how blood is shown (Niko Partners 2020), several Middle Eastern markets require more modest character design (IGN, n.d.), and Australia has strict prohibitions on certain drug-related depictions (Australian Parliament, 2023). Regulations are also increasingly restricting the monetization of games, an aspect once largely unregulated. This includes matters such as prohibiting so-called “loot boxes”, regulating the use of in-game currencies and mandatory disclosure of odds (The Verge 2017, Gamesforum 2025).

1.2 Problem Discussion

The increasing globalization of the video game industry has created new strategic challenges for firms operating across international markets. As video game companies expand globally, they must simultaneously navigate differing consumer preferences, cultural expectations, platform ecosystems, and regulatory environments. While globalization enables firms to reach increasingly large international audiences, it also creates pressures to adapt products and business strategies to local market conditions (Prahalad & Doz, 1987, pp. 13-24; Bain & Company, 2024, pp. 25-26).

At the same time, the video game industry differs from many traditional entertainment industries due to its interactive and continuously evolving nature. Through live-service systems, ongoing content updates, and direct interaction with player communities, video game products may continue evolving long after release. This creates additional complexity regarding how firms approach international product adaptation within rapidly changing and institutionally diverse markets (O’Hagan & Mangiron, 2013, pp. 19-22, 202-215).

Consequently, tensions emerge between the benefits of maintaining globally standardized products and the need to respond to regional market conditions, cultural differences, and regulatory demands. While existing theories concerning globalization and localization provide important insights into these pressures, the continuously evolving and digitally interconnected nature of contemporary video games raises questions, regarding how firms practically balance global integration and local responsiveness over time.

1.2.1 Complexity of the Video Game Industry

The video game industry is defined by a high degree of both structural and operational complexity that often is underestimated by the broader public. A core characteristic of the industry is its hybrid nature, positioned between technological software development and creative entertainment production (Chaminade, Martin & McKeever, 2021, pp. 132-133). This multidisciplinary nature is reflected in existing research, which identifies product ecosystems, monetization strategies, consumer psychology and marketing, innovation, and business model sustainability as dominant research themes (Goh, Al-Tabbaa & Khan, 2023, p. 16).

Chandler and Deming (2012, p. 49) further illustrate how video games evolved into increasingly multimedia and complex products, requiring socio-linguistic, and cultural adaptation across international markets.

Simultaneously, the industry shares important characteristics with traditional forms of entertainment. Video games are creative and symbolic products in which design, aesthetics, and cultural expression play central roles (Chaminade, Martin & McKeever, 2021, p. 132). Like other creative industries, video games are therefore subject to changing consumer preferences and uncertain commercial outcomes.

However, unlike more static entertainment products such as films, modern video games have increasingly evolved into continuously developing “living products.” The expansion of digital distribution and online infrastructures has fundamentally altered the product lifecycle, enabling developers to continuously modify, update, and expand games after release through ongoing content updates and live-service systems (O’Hagan & Mangiron, 2013, pp. 202-215).

1.2.2 The strategic importance of Product Adaptation

Product adaptation is a foundational concept within international business, and the complexity of the video game industry outlined above further amplifies its strategic significance (Prahalad & Doz, 1987, pp. 13-24). Video games are inherently transnational products that, through digital distribution, can bypass many traditional geopolitical barriers with relative ease (O'Hagan & Mangiron, 2013, pp. 13-18). Even in highly regulated markets such as China, grey-market distribution, alternative digital platforms, and the use of Virtual Private Networks (VPNs) may allow products to reach consumers beyond officially approved release systems. The U.S.-China Economic and Security Review Commission (Snyder, 2018, pp. 3-5) further highlights how foreign game access in China has historically been shaped by restrictive licensing systems, grey-market activity, and alternative digital distribution channels, particularly through platforms such as Steam.

However, this global accessibility does not imply a homogeneous consumer market. Revenue streams remain fragmented across the industry, and varying consumer preferences regarding monetization models, platform preferences, and content sensitivity create significant pressures for product adaptation (Bain & Company, 2024, pp. 9, 25-26). Firms that ignore regional differences risk misalignment between product offerings and local market demand, potentially negatively affecting commercial performance (Prahalad & Doz, 1987, pp. 13-24).

1.2.3 Current Industry Developments

Industry reports such as the *2024 Gaming Report* from Bain & Company further suggest that companies operating in digital markets must tailor products to local conditions in order to remain competitive. Within the video game industry, such adaptation often takes the form of localization, including language adaptation, cultural adjustments, monetization changes, and redesigned user experiences, as understanding consumer expectations is increasingly necessary in order to successfully reach international audiences (2024, p. 9).

The report further highlights how video game companies continue expanding globally while simultaneously adapting products and operations in response to evolving consumer demand, platform ecosystems, and regional market conditions (2024, pp. 25-26). As the industry becomes increasingly globalized and digitally interconnected, firms are required to balance scalable international product strategies with local market responsiveness.

These developments are particularly relevant to this study, as they illustrate how product adaptation has become strategically important within the international video game industry. The industry report therefore supports the study's empirical focus on how firms identify regional consumer preferences, respond to differing regulatory environments, and implement adaptation strategies across international markets.

1.3 Previous Research

Previous research relevant to this study can broadly be divided into two main streams: translation studies research on video game localization and international business research on adaptation and standardization. The first stream focuses primarily on how games are linguistically, culturally, and technically adapted for foreign markets, while the second examines how multinational firms balance global efficiency with responsiveness to local market conditions. While both streams offer valuable insights, limited research has integrated these perspectives in order to explain how video game companies strategically adapt products across international markets (O'Hagan & Mangiron, 2013, pp. 19-22; Prahalad & Doz, 1987, pp. 13-24).

Existing literature has therefore contributed important insights into localization practices, cultural adaptation, and international business strategy. However, less attention has been directed toward how video game firms strategically approach broader product adaptation across international markets.

1.3.1 The Localization Perspective

O'Hagan and Mangiron (2013) are among the most influential contributors to research on video game localization. They describe game localization as a specialized field that differs from traditional translation because video games are interactive, multimodal, and technologically complex products (pp. 19-22, 32, 102-107). According to their work, localization involves not only linguistic transfer and the recreation of intended player experiences, but also broader cultural adaptation and market-specific adjustments (pp. 19-22; 210-216). This suggests that localization may be understood not only as a linguistic process, but also as a strategic business activity.

O'Hagan and Mangiron also illustrate the importance of localization through the U.S. launch of Pokémon, where content was modified to suit American audiences, Japanese-style names were adjusted, and religious or sexual references were removed when deemed unsuitable (2013, p. 73). They further explain that the localization of games seeks to transfer the “user experience” of the medium and that games should be understood not only as stories, but also as “playable objects” (2013, p. 75).

Bernal-Merino (2015, pp. 112-118), particularly in his discussions of game assets and industrial localization processes, similarly demonstrates that video games are complex digital products in which textual, audiovisual, and technical elements must function effectively across multiple international markets. From an industry practitioner perspective, *The Game Localization Handbook* (Chandler & Deming, 2012, p. 49) emphasizes the operational complexity of game localization, including simultaneous global launches, platform requirements, quality assurance testing, and coordination between developers, publishers, and localization teams. The authors further highlight how increasingly multimedia and technically complex games create significant localization challenges due to user-interface constraints, scheduling pressures, and internationalization requirements.

Taken together, these perspectives show that game localization extends beyond ordinary translation, since it combines linguistic transfer with multimodal communication, cultural adaptation, market strategy, gameplay functionality, and player engagement. Previous research has therefore primarily focused on translation quality, cultural references, technical implementation, and project workflows. Although these studies acknowledge commercial pressures, localization is often treated mainly as a linguistic or production process rather than as a broader strategic capability.

1.3.2 Adaptation and Standardization in International Business

From an international business strategy perspective, Prahalad and Doz (1987, pp. 14-16) argue that multinational firms face simultaneous pressures for global integration and local responsiveness. Firms therefore need to balance the efficiency advantages of standardized global products with the market benefits of local adaptation. Their framework suggests that firms competing internationally must determine which activities should be centrally coordinated across markets and which should be adapted to local conditions. This perspective is particularly relevant for industries such as video games, where products can be distributed globally at low marginal cost through digital platforms but often require market-specific adjustments in language, content, monetization systems, or regulatory compliance.

Later empirical research by Roth and Morrison (1990, pp. 541-564) further supported this perspective by showing that firms facing simultaneous pressures for global integration and local responsiveness often pursue multifocal strategies that balance coordination and adaptation across markets.

1.3.3 The video Game Industry

Academic literature focusing specifically on the video game industry is a relatively new phenomenon that historically has been underexplored. However, research in the field has increasingly gotten more attention. Goh, Al-Tabbaa and Khans (2023) conducted a systematic literature review of the research concerning the video games industry. Drawing upon 84 academic articles, the authors identified five central themes that categorise the field: product ecosystems, monetization strategies, consumer psychology & marketing, innovation in the video game industry and overall business model survivability & sustainability (2023, p. 16).

Furthermore, the study proposes a conceptual framework that maps the dynamics of the video game industry, illustrating the complex nature of the industry. Nevertheless, the literature review demonstrates that there is a notable lack of any research focusing on product adaptations within the video game industry.

In their 2021 article Chaminade, Martin and McKeever analysed the hybrid characteristics of the industry and explored how Swedish firms engage in knowledge-sharing processes. The authors discuss the role international publishers have in the acquisition of market knowledge during internationalization and emphasizes the importance such knowledge holds for success.

Additionally, they talk about the difficulties associated with establishing networks within the Asian markets, especially China, due to institutional barriers (2021, p. 137-138). The authors conclude that the geography of global innovation networks is largely shaped by the location of demand, with Swedish firms primarily connected to North America, Western European, and Japanese markets, while emerging markets are perceived as more challenging due to institutional distance (2021, p. 143).

However, the article does not address local demand nor the role of product adaptation and is done from the perspective of social science and geographical economics rather than an international business perspective.

1.3.4 Research Gap

Despite the growing body of literature on the video game industry, there is a clear lack of research examining how firms strategically manage product adaptation across international markets. International business literature provides well-established frameworks concerning the balance between global integration and local responsiveness in multinational firms (Prahalad & Doz, 1987, pp. 14-15). In particular, Prahalad and Doz emphasize that differences between national markets and the need for local product adaptation may require firms to respond strategically to local conditions.

However, these theories have rarely been applied to the highly digital and culturally complex nature of video games. Although research on the video game industry has expanded significantly in recent years, the field remains fragmented and lacks coherent integration across business and management perspectives (Goh, Al-Tabbaa & Khan, 2023, pp. 1-2).

At the same time, research on video game adaptation has largely emerged from the field of translation studies. Bernal-Merino (2015, pp. 112-118) and Chandler and Deming (2012, p. 49) primarily discuss localization from operational and implementation-oriented perspectives, focusing on areas such as technical adaptation, localization workflows, user-interface constraints, and internationalization processes.

As a result, the literature is characterized by a divide between international business research, which focuses on strategic integration-responsiveness pressures, and localization research, which focuses on operational and linguistic adaptation. Limited attention has therefore been

directed toward how video game firms strategically manage selective product adaptation while simultaneously implementing localization across international markets.

This presents an opportunity to offer a new perspective on internationalization within the video game industry and contribute to the growing body of literature on product adaptation and localization.

1.4 Purpose

This study examines how video game companies balance global standardization with local adaptation in international markets, with particular attention to regional consumer preferences and regulatory compliance.

More specifically, the study investigates the strategies used to address regional differences and how institutional and regulatory environments shape adaptation decisions and constrain international operations. Given the video game industry's global reach, commercial scale, interactive nature, and increasingly complex regulatory environment, a deeper understanding of product adaptation within this context may contribute to both international business research and industry practice.

1.5 Research Question

To address this purpose, the study incorporates interviews with industry professionals possessing first-hand expertise and experience related to the international video game industry. Based on the purpose presented in Section 1.4, the study aims to answer the following research question:

How do video game firms strategically approach and implement product adaptation within international markets?

1.6 Theoretical delimitations

This study is theoretically delimited to perspectives related to product adaptation, localization, and international business strategy within the video game industry.

The study does not aim to analyse localization from a purely linguistic or translation-oriented perspective in detail. Instead, localization is approached primarily as an operational and strategic form of product adaptation connected to international business decisions. Likewise, the study does not focus extensively on technical software development processes, game design theory, or player psychology beyond aspects directly related to regional adaptation and international market strategies.

Furthermore, the study is delimited to strategic and organizational perspectives within the video game industry rather than consumer-side behavioural analysis. Although consumer preferences are discussed, the purpose is not to quantitatively measure player behavior across markets, but rather to examine how industry professionals perceive and respond to such differences through product adaptation practices.

Although the study is based on Nordic firms, its objective is not to provide a specifically Nordic perspective on product adaptation, but rather to generate insights that are relevant to the video game industry broadly. Nevertheless, the selection of Nordic firms may have influenced the findings and should therefore be considered when interpreting the results. This limitation is largely mitigated by the fact that respondents primarily discussed international markets and global industry practices rather than region-specific Nordic conditions.

In this study, localization is treated as one form of product adaptation primarily concerned with language, culture, and user experience. However, product adaptation is a broader concept that may also include monetization, gameplay, pricing, regulatory compliance, and platform-specific adjustments.

2. Theory

This chapter presents the theoretical foundation for examining how video game companies adapt products for global markets. It focuses on three central areas: game localization as a specialized form of translation, international business strategies for balancing global integration and local responsiveness. By drawing on previous research within translation studies and international business, the chapter establishes the concepts and frameworks that guide the subsequent analysis.

2.1 Integration-Responsiveness Framework

A central theoretical perspective for this study is the integration-responsiveness (IR) framework, originally developed by Prahalad and Doz (1987) and later expanded by Bartlett and Ghoshal (1989). The framework explains how multinational firms operate under two simultaneous strategic pressures: the pressure for global integration and the pressure for local responsiveness. Rather than choosing between complete standardization and complete adaptation, firms often need to balance both dimensions simultaneously.

Although the IR framework has traditionally been applied to multinational management structures, subsidiary coordination, and broader organizational strategy, this study applies the framework primarily from a product adaptation perspective. More specifically, the framework is used to examine how video game firms balance globally standardized core products with selective forms of local adaptation across international markets.

O'Hagan and Mangiron (2013, p. 208) describe how developers may pursue “cross-cultural game design” strategies intended to minimize the need for extensive localization by designing games with broader international appeal from the outset. This interpretation is considered appropriate because adaptation within the video game industry frequently occurs through localization, monetization systems, live-service operations, platform implementation, and content modification rather than through entirely separate national organizational structures. Accordingly, in this study, the IR Framework functions primarily as a lens for understanding strategic product adaptation and international market responsiveness within digitally distributed and continuously evolving products rather than broader multinational management structures alone.

According to Prahalad and Doz (1987, pp. 13-24), global integration refers to the degree to which firms seek efficiency through coordinated international operations. This may involve centralized decision-making, standardized products, economies of scale, shared technologies, integrated production systems, and globally consistent branding. Prahalad and Doz further argue that many industries increasingly require firms to coordinate activities across borders in order to remain competitive, particularly where scale economies, technological development, and cost pressures are strong. Local responsiveness, by contrast, refers to the extent to which firms adapt products and operations to specific market conditions. According to Prahalad and Doz (1987, pp. 13-24), such adaptation may be driven by cultural preferences, language differences, host-government regulation, distribution systems, consumer habits, or local competition. Prahalad and Doz (1987, pp. 14-15) emphasize that many businesses simultaneously face pressures for responsiveness because national markets continue to differ in economically and institutionally important ways.

The IR framework is particularly relevant to the video game industry because game companies frequently face both pressures at the same time.

On the one hand, firms benefit from global integration through the use of shared game engines, centralized development teams, reusable digital assets, unified intellectual property, and simultaneous worldwide releases. A standardized global core product can reduce development costs while strengthening brand identity and global player communities.

On the other hand, video game firms also face significant pressures for local responsiveness. Products often need to be adapted to different languages, cultural norms, age-rating systems, censorship requirements, monetization regulations, and platform ecosystems. For example, certain markets may require altered visual content, revised reward systems, modified in-game purchasing mechanics, or platform-specific technical adjustments. Consumer preferences may also differ between markets in relation to genre popularity, spending behavior, or social play patterns. Thus, video game firms frequently need to balance globally standardized products with selective forms of local adaptation, making the IR framework particularly useful for understanding strategic product adaptation within international video game markets.

Although the IR framework distinguishes between pressures for global integration and local responsiveness, Bartlett and Ghoshal (1989, pp. 59-68) emphasize that multinational firms

frequently pursue both simultaneously through transnational strategies. Within highly digitalized and interactive industries such as the video game industry, firms may therefore standardize core products while selectively adapting specific product dimensions across markets. Making the relationship between integration and responsiveness more dynamic and fluid than a purely binary distinction may imply.

The IR framework is subsequently used as the fundamental framework for the analysis, and is used to map the strategic elements of product adaptation in video games and establish what forces push for standardization vs adaptation.

2.2 Localization in the Video Games Industry

Whereas the IR framework provides a strategic perspective on global integration and local adaptation, the concept of localization offers a more operational understanding of how adaptation is implemented within the video game industry. Localization therefore represents one of the primary mechanisms through which firms respond to local market conditions while maintaining a globally integrated product structure.

In Chapter 2 of *Game Localization: Translating for the Global Digital Entertainment Industry*, O'Hagan & Mangiron (2013, pp. 88-110) discuss localization both theoretically and practically, while positioning video game localization within the broader field of translation studies, an academic field concerned with how meaning, language, and cultural context are translated and adapted across languages and societies. The authors argue that video game localization extends beyond traditional translation practices and instead involves the broader adaptation of video games to specific linguistic, cultural, technical, and commercial markets. They further argue that video game localization “introduces dimensions that challenge some of the current assumptions about translation” (O'Hagan & Mangiron, 2013, p. 26). In this context, localization can be understood as the adaptation of a video game for a specific target market or language community, rather than a process limited solely to linguistic translation.

O'Hagan and Mangiron (2013, p. 201) further describe localization as a process of “transcreation,” where translators and localization teams actively adapt linguistic and cultural elements in order to recreate intended player experiences across different market contexts. The authors further note how digital player communities increasingly participate in localization processes through forms of “fan translation,” illustrating how localization may extend beyond formal organizational structures (O'Hagan & Mangiron, 2013, p. 201).

Unlike more traditional forms of translation, video game localization frequently involves modifying dialogue, cultural references, user interfaces, audio assets, gameplay systems, monetization structures, and visual content in order to align products with local expectations and technical requirements. O'Hagan and Mangiron further emphasize that modern video games are both technological and cultural products, meaning that localization must address not only language differences but also broader cultural meanings and player experiences (2013, pp. 19-21). In increasingly digitalized markets, localization may also involve adaptation to platform ecosystems and digital distribution infrastructures. Platform owners frequently impose technical, operational, monetization-related, and certification requirements that influence how games are localized, distributed, maintained, and updated across international markets (O'Hagan & Mangiron, 2013, pp. 88-110).

Because video games are designed to create immersion and emotional engagement, localization aims to preserve the intended player experience across different markets rather than merely reproduce textual meaning (O'Hagan & Mangiron, 2013, pp. 202-215). The authors describe these processes as “cultural adjustments” or “culturalization” (2013, pp. 215-216), where both micro-level textual changes and broader macro-level modifications to visuals, gameplay systems, or storylines may occur during localization. These processes may require adaptation of humor, narratives, character portrayals, visual elements, and social interactions. According to O'Hagan and Mangiron, these adaptations are intended to align products with local cultural norms and consumer expectations. This highlights the cultural dimension of localization and its relevance for understanding how firms adapt products across differing market contexts.

Furthermore, O'Hagan and Mangiron (2013, pp. 219-225) explain how localization may also involve adaptation to differing regulatory and institutional environments. Certain markets impose restrictions related to censorship, violence, political symbolism, age classifications, and culturally sensitive content, which can require substantial modifications to localized versions of games. Beyond traditional censorship-related concerns, adaptation may also involve compliance with platform governance, monetization regulation, consumer protection requirements, and differing institutional systems across international markets. Consequently, firms may also proactively avoid certain forms of content during development in anticipation of potential regulatory restrictions or market-access limitations (O'Hagan & Mangiron, 2013, pp. 219-225).

This perspective is particularly relevant to the study, as regulatory and institutional environments may shape the extent to which firms are able to adapt products across international markets. Such constraints may influence both creative decisions and broader product adaptation strategies.

O'Hagan & Mangiron (2013, pp. 13-18) further argue that localization practices are closely connected to global market strategies within the video game industry. Rather than functioning as a secondary post-production activity, localization increasingly operates as an integrated component of international product development and market strategy. Within the industry, localization can therefore be understood as one operational mechanism through which firms balance global integration with local responsiveness. While companies often maintain globally standardized core products, localization enables selective adaptation to differing market conditions, cultural preferences, and regulatory environments. As such, localization represents a central component of broader product adaptation strategies in international video game markets.

This is particularly relevant to the study's focus on product adaptation, as localization literature highlights how firms selectively modify linguistic, cultural, technical, monetization-related, and regulatory elements in response to differing market conditions. The theory therefore contributes to understanding how adaptation decisions are translated into practical changes within video game products and international market strategies. Because many contemporary video games operate as continuously evolving live-service products, localization and product adaptation may also extend beyond initial release through ongoing updates, seasonal content, monetization adjustments, and continuous responses to player communities across international markets(O'Hagan & Mangiron, 2013, pp. 202-215).

Maintaining multiple regional versions may therefore create additional technical and organizational complexity, since ongoing updates, quality assurance processes, and new content integrations must continuously be coordinated across all active versions of the product (O'Hagan & Mangiron, 2013, pp. 88-110).

2.3 Theoretical synthesis

Together, the integration-responsiveness (IR) framework and localization literature provide a theoretical foundation for analysing how video game firms balance global standardization with market-specific adaptation. While the IR framework explains the broader strategic pressures shaping international operations, localization literature contributes a more operational understanding of how adaptation is implemented at the product level.

The IR framework is particularly useful for explaining how multinational video game companies balance the pursuit of global efficiency with the need to respond to differing local market conditions. In the context of the video game industry, global integration pressures may encourage firms to maintain standardized core products, centralized development processes, shared technologies, unified intellectual property, and simultaneous worldwide releases. At the same time, local responsiveness pressures may require adaptation to differing cultural norms, consumer preferences, monetization expectations, platform ecosystems, and regulatory environments.

Localization theory complements this strategic perspective by explaining how such adaptation is operationalized in practice. Rather than viewing localization solely as linguistic translation, the literature emphasizes localization as a multidimensional adaptation process involving cultural, technical, regulatory, and experiential adjustments. Localization therefore functions as one of the primary operational mechanisms through which firms implement product adaptation strategies across international markets.

However, localization literature also suggests that adaptation does not necessarily require complete redesign of products for individual markets. Rather, firms may selectively modify linguistic, cultural, technical, monetization-related, and regulatory dimensions while simultaneously maintaining globally standardized core products in order to balance efficiency with local market fit (O'Hagan & Mangiron, 2013, pp. 202-216; Prahalad & Doz, 1987, pp. 14-15). Within digitally distributed industries such as video games, these adaptation decisions frequently occur within shared international product infrastructures, where localized modifications may affect globally integrated products distributed simultaneously across multiple markets (O'Hagan & Mangiron, 2013, pp. 13-18; Prahalad & Doz, 1987, pp. 14-15).

Together, these theoretical perspectives enable analysis of both the strategic pressures driving product adaptation and the practical mechanisms through which adaptation is implemented

within international video game markets. The combined framework therefore supports analysis of how firms balance efficiency, scalability, and brand consistency with the need to achieve local market fit.

To further illustrate the relationship between the integration-responsiveness framework and localization theory, Figure 1 presents the study's theoretical synthesis. The figure demonstrates how strategic pressures related to global integration and local responsiveness interact with localization practices. Together, these perspectives explain how video game firms approach product adaptation across international markets.

Figure 1. Theoretical Framework: How IR Framework and Localization Theory Work Together

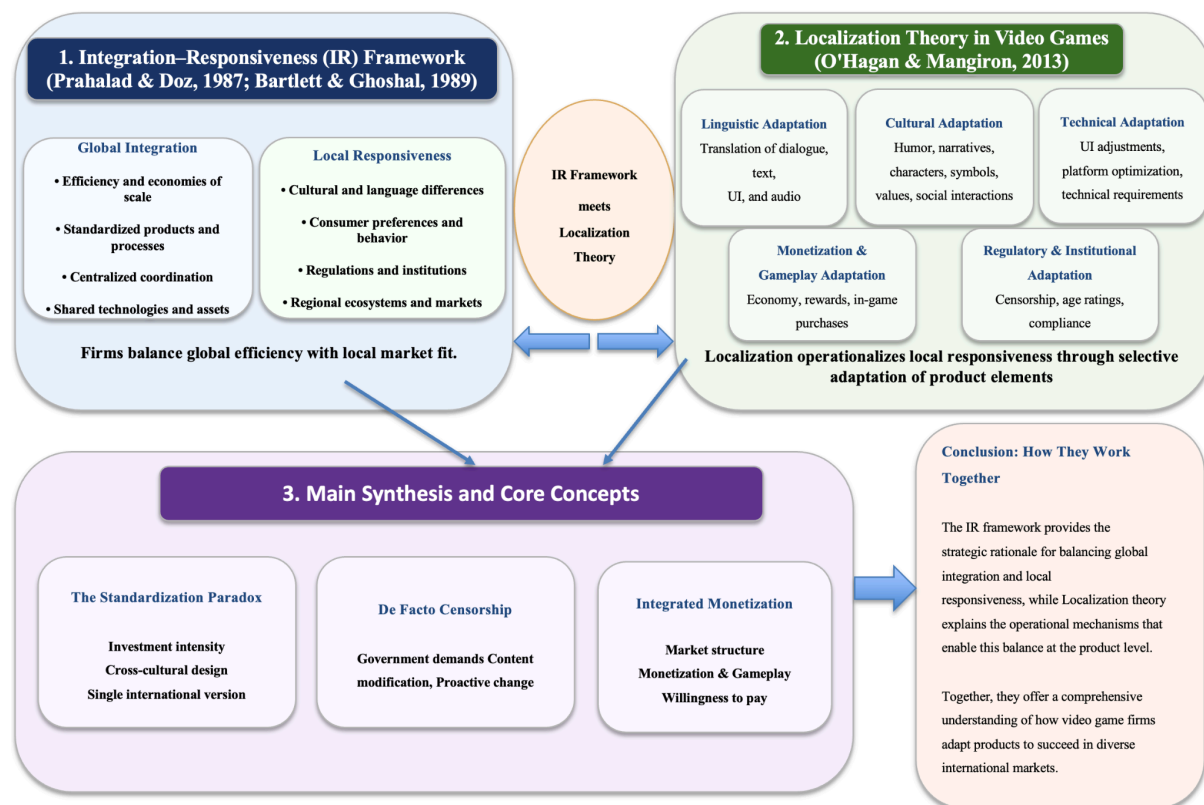


Figure 1 - Theoretical Framework: How IR Framework and Localization Theory Work Together

Source: Authors' own illustration based on Prahalad and Doz (1987), Bartlett and Ghoshal (1989), and O'Hagan and Mangiron (2013). The figure was digitally designed in PowerPoint (see Section 3.7).

3. Methodology

The methodology chapter begins by outlining the research approach and strategies, followed by the multidimensional interview design and the strategic selection of respondents. The chapter then describes how the empirical data was obtained through semi-structured digital interviews, transcribed and analysed through an abductive lens. Finally, the chapter reflects on how the methodological limitations, ethical considerations and technological tools were applied throughout the research process.

3.1 Research Approach & Strategy

This study prioritizes in-depth, rich, and context-sensitive data over large-scale quantifiable data. Accordingly, the research was conducted primarily through a qualitative approach, complemented by limited quantitative elements used to establish a broader contextual foundation for the study.

Within analytical research, three explanatory approaches are commonly distinguished: inductive, deductive, and abductive. According to Okoli (2023, pp. 302-316), inductive approaches begin with empirical observations and seek to develop theoretical understanding from the collected data. Deductive approaches instead begin with existing theories or hypotheses that are subsequently tested empirically. Abductive approaches combine elements of both by allowing the researcher to move continuously between empirical observations and theoretical frameworks in order to develop interpretations and explanations.

Rather than following a purely inductive or deductive logic, the analytical process of this study more closely resembles an abductive approach. This was considered appropriate since the study integrates existing theoretical perspectives related to product adaptation, localization, and international business strategy with empirical insights gathered from industry professionals. Rather than exclusively generating theory from empirical material or strictly testing predefined hypotheses, the study continuously moved between theoretical concepts and empirical findings throughout the research process (Okoli, 2023, pp. 302-316; Bell et al., 2022, pp. 71-73). This iterative process enabled the researchers to refine interpretations and develop a deeper understanding of how product adaptation is strategically approached and implemented within international video game markets.

In accordance with Bell et al. (2022, p. 72), abductive reasoning is particularly suitable when research is initiated through empirical observations that existing theory cannot fully explain. The process can therefore be understood as a form of “dialectical shuttling” between empirical material and theoretical concepts. Within this study, the integration-responsiveness (IR) framework provided an initial analytical lens, while the semi-structured interviews simultaneously allowed for openness toward new insights emerging from the empirical material. Consequently, the study employed a flexible and interpretive research process in which theoretical understanding could be continuously refined in relation to the empirical findings.

This abductive-inspired logic informed both the data collection and analysis process, which are outlined in the following sections.

3.2 Research Design

3.2.1. Respondent types

Industry informants

The study primarily draws on respondents occupying senior, strategic, or expert-oriented positions within the video game industry. These respondents include professionals working in video game companies of varying sizes, connected to game development, market strategy, regulation, and international operations.

Their relevance to the study lies in their proximity to strategic decision-making processes concerning product adaptation in relation to consumer preferences and regulatory environments. Because several respondents operate across multiple markets, projects, or organizations, they contribute perspectives that extend beyond the experiences of a single company and instead reflect broader industry patterns and recurring challenges within the video game sector. The respondents therefore provide insights into how firms adapt video game products to differing consumer expectations, cultural preferences, platform requirements, and regulatory conditions across international markets. Their positions also enable them to reflect on strategic considerations related to localization, monetization, content adjustments, age classifications, and compliance with regional regulations.

Organizational and industry-related informants

In addition to professionals working directly within game companies, the study also includes respondents connected to industry organizations in the video game industry. These respondents contribute perspectives on industry-wide developments, regulatory trends, market dynamics, and evolving consumer behaviors that influence how video game firms approach product adaptation. Their contribution is valuable in contextualizing the strategic and operational challenges faced by firms operating in an increasingly global and complex industry environment.

Combined perspectives

Together, these respondent categories provide complementary perspectives on the phenomenon under study. While professionals within game companies contribute practical insights grounded in product development and strategic adaptation processes, industry-related respondents contribute broader perspectives on market trends, consumer expectations, and regulatory developments across the video game industry. This combination strengthens the exploratory design of the study and enables a richer understanding of how firms navigate product adaptation in international video game markets.

3.2.2. Strategic selection

Respondents were identified and selected through a purposive, criterion-based sampling strategy. In line with purposive sampling principles, participants were selected based on their relevance to the research questions and their professional experience within the video game industry (Bell et al., 2022, pp. 580-583).

The objective of this study is to achieve depth of understanding rather than broad representativeness. Therefore, purposive sampling is considered appropriate, particularly since the relevant population is defined by expertise and industry experience rather than by membership within a clearly bounded group.

Two primary criteria governed the respondent selection. First, respondents were required to possess professional expertise or strategic insight relevant to the research question, particularly within areas connected to the video game industry, product adaptation, consumer preferences, international markets, regulation, localization, publishing, or strategic decision-making. Second, respondents needed to occupy positions that provided direct or

indirect exposure to how video game firms adapt products across differing market and regulatory conditions.

The final sample therefore consists primarily of professionals occupying senior, strategic, or expert-oriented roles within the video game industry, including individuals working in game development companies, publishing firms, consultancy environments, and industry-related organizations. Several respondents also possessed cross-market or cross-organizational experience, enabling them to reflect on broader industry patterns rather than only firm-specific experiences.

The respondents are presented below in Figure 2 and consist of all respondents included in the study (R1-R10). The figure presents each respondent's role, professional area, and interview length. The overview illustrates the diversity of professional perspectives represented within the empirical material, including respondents working in areas such as game design, marketing, market research, production, and business development across different segments of the video game industry.

The objective of presenting this information is to increase the transparency of the respondent selection and to aid in providing a contextual understanding for the subsequent analysis.

Figure 2 - Respondent Overview

Respondent	Role	Interview Length (Avg 33,5 min)
R1	Market Researcher	30 min
R2	Game Designer	24 min
R3	Product Marketing Manager	36 min
R4	Senior Games Lead	38 min
R5	CEO	25 min
R6	Product Owner	39 min
R7	CEO	31 min
R8	Deputy CEO	27 min
R9	CEO	34 min
R10	Product Lead	51 min

Figure 2 - Respondent Overview

Source: Based on the information gathered prior to and during the semi-structured interviews between Authors' and Respondents

3.2.3 Preliminary methodological discussions

Before any formal interviews were conducted, individual discussions were held between the authors of the thesis. These discussions helped refine the scope of the study, as well as clarify the research purpose and research question. This was a deliberate methodological choice intended to ensure that the study approached the video game industry with a focused and well-defined research direction, thereby strengthening the overall quality and coherence of the study.

The discussions also contributed to the selection and refinement of the theoretical frameworks applied in the thesis. Through this process, the authors were able to identify theoretical perspectives considered most relevant to the research problem and the industry context under investigation. Furthermore, these discussions subsequently informed both the interview design and the overall research approach of the study.

3.3 Data Collection

This study adopted a semi-structured interview approach, allowing for predefined themes while simultaneously enabling flexible follow-up questions and discussion throughout the interviews. The data collection process was guided by five methodological principles consistent with the study's qualitative and abductive research orientation.

In line with the research strategy presented in Section 3.1, empirical observations and theoretical perspectives were continuously interpreted in relation to each other throughout the research process (Bell et al., 2022, p. 70). This enabled the researchers to move iteratively between theory and empirical insights while exploring how product adaptation is approached within the video game industry. Since qualitative research assumes that reality may be interpreted differently by different individuals, the researchers were viewed as instruments of interpretation throughout the study. This interpretive perspective is closely related to hermeneutics, which emphasizes understanding and interpretation within social contexts (Bell et al., 2022, p. 72).

The research design also remained flexible throughout the data collection process and evolved in response to emerging insights. This was particularly important during the semi-structured interviews, where follow-up questions and discussion themes could be

adjusted depending on each respondent's role, expertise, and organizational context (Bell et al., 2022, pp. 561-562).

The primary empirical data was collected through ten semi-structured interviews, each lasting between 24-51 minutes. The interviews were conducted in both English and Swedish through digital video conferencing platforms (see Section 3.7). All interviews were audio-recorded with the consent of the participants (see Section 3.5), transcribed using WhisperAI, and subsequently manually reviewed by both authors to ensure accuracy. A semi-structured interview format was chosen due to its flexibility and suitability for abductive qualitative research. The format allowed the researchers to follow predefined themes while simultaneously adapting follow-up questions and discussions in response to each respondent's expertise, experiences, and organizational context. This flexibility enabled deeper exploration of emerging insights during the interviews while maintaining consistency across the broader research themes.

Prior to each interview, respondents received introductory information regarding the purpose and scope of the study during the initial contact phase. Two central themes were highlighted in advance: consumer preferences and regulatory adaptations within international video game markets. This was intended to help respondents prepare for more reflective and detailed discussions during the interviews. A minority of respondents also requested access to the core interview questions beforehand, which the authors provided. Each interview began with a brief introductory phase in which both the researchers and respondents presented themselves. This was intended to establish a comfortable conversational setting before transitioning into the core interview themes. The interviews primarily consisted of open-ended questions designed to encourage reflective and experience-based responses. In some instances, more direct or confirmatory questions were used to clarify interpretations and reduce the risk of misunderstandings between the researchers and respondents.

Taken together, the semi-structured format and flexible interview design supported the study's abductive research approach by allowing theoretical perspectives and empirical insights to continuously interact throughout the data collection process.

3.4 Data Analysis

The data analysis was conducted using a qualitative, abductive approach, consistent with the research design outlined in Section 3.1. In accordance with (Bell et al., 2022, p. 70), an iterative process was implemented to interpret empirical data and theoretical concepts in relation to each other, allowing the researchers to move freely between theory and data as mentioned previously in Section 3.1.

Subsequent to the data collection, the semi-structured interviews were transcribed to optimize systematic analysis. The data was analysed through a thematic analysis, as the researchers started mapping out where, when, and how each participant discussed the main themes of the study. This mapping was simplified as one of the researchers kept notes during each interview with time-stamps, while the other researcher primarily asked the questions, alternating between themselves. The identified themes of each interview that were related to the research topic could subsequently be focused on when analysing the bigger picture, while still revisiting each interview to stay observant if anything was missed and also become familiar with the material. This allowed coding of the material in line with a thematic analysis (Bell et al., 2022, p. 53).

Following transcription and thematic coding, the authors produced individual summaries of each interview and organized them according to respondent. The purpose of this process was to create a structured overview of the empirical material and facilitate comparison across interviews.

In line with Bell et al. (2022, p. 53), a thematic analysis was conducted and the process of analysis was iterative. As the analysis started simultaneously as interviewing was ongoing, it influenced the structure of coming interviews as new insights emerged, giving the researchers new ways to approach the subject.

3.5 Research ethics

In order to ensure that ethical risks were minimized during the interviews, four main ethical principles were addressed, based on Diener and Crandall (1978, as cited in Bell et. al., 2022, p. 197, e-book). These four principles are avoidance of harm, informed consent, privacy, and prevention of deception (Bell et. al., 2022, p. 197). Accordingly, each interview was initiated by explaining the purpose of the study as how the interviewees' expertise would contribute to the research, thereby helping to avoid deception. All participants were then asked for consent to audio-record the interview and were offered anonymity if they wished. However, the authors decided to anonymize all respondents in order to ensure consistency and further protect participant confidentiality throughout the study. The interview recordings and transcriptions were stored securely and treated confidentially by the authors. These measures were implemented in order to address the remaining three ethical principles of informed consent, privacy, and avoidance of harm throughout the data collection process.

3.5.1 Trustworthiness

Given the limitations associated with applying traditional concepts such as validity and reliability to qualitative research, the study instead adopts the concept of trustworthiness proposed by Lincoln and Guba (1985), which provides an alternative framework for evaluating qualitative research quality. Such limitations emerge because qualitative research is interpretive, context-dependent, and focused on understanding meanings and perspectives rather than measuring variables or producing statistically generalizable results. Therefore, the study evaluates trustworthiness based on four criteria presented by Bell et al. (2022, pp. 552-556): *credibility*, *transferability*, *dependability*, and *confirmability*.

Credibility refers to the extent to which the findings accurately reflect the participants' perspectives. This was enhanced through in-depth semi-structured interviews and an iterative analytical process, where interpretations were continuously revisited in relation to the empirical data. This also allowed for clarification of issues related to the study and the video game industry, in order to reflect on what the participants actually meant. The interviews were also, with the consent of the respondents, recorded and transcribed to minimize the risk of misinterpretation. Several quotes were used to support the analysis and maintain a connection between interpretations and the empirical data collected from the interviews.

Transferability concerns the extent to which findings can be applied to other contexts. While the study does not aim for statistical generalization, providing detailed descriptions of the research context and participants enables readers to assess the relevance of the findings to similar settings.

Dependability relates to the consistency and stability of the research process over time. This was addressed by maintaining a structured and transparent methodology, including clear documentation of data collection and analysis procedures.

Confirmability refers to the extent to which the findings are grounded in the data rather than influenced by researcher bias. This was supported by systematically linking interpretations to empirical material and maintaining awareness of the researchers' interpretive role, in line with the abductive and subjective nature of the study.

3.6 Limitations

A limitation of the study is that the interviewed professionals primarily occupy senior or highly positioned roles within the video game industry. As a result, the findings largely reflect strategic, managerial, and expert-oriented perspectives, which may differ from the experiences and perceptions of employees operating at lower organizational levels. This may limit the study's ability to fully capture how product adaptation processes are experienced throughout the broader organization and across different operational roles within the video game industry.

Furthermore, because the study is qualitative and based on a limited number of respondents, the findings should not be interpreted as statistically representative of the video game industry as a whole. Instead, the study aims to provide in-depth insights into how product adaptation is understood and approached by experienced industry professionals.

3.7 Technological tools

Microsoft Teams, Zoom, and Google Meet were used for conducting the semi-structured interviews. The use of multiple platforms was intended to accommodate respondents' preferences and ensure flexibility throughout the interview process. Audio recordings were conducted using Apple Voice Memos and subsequently transcribed through WhisperAI, which is a locally downloaded transcription program, chosen to support data protection and confidentiality.

Figure 1 was designed using the presentation platform Microsoft PowerPoint, in which the authors utilized the platform to create and arrange the visual elements, formatting, and overall layout of the figure.

Regarding generative AI, the study complied with the guidelines on the use of generative AI established by The School of Business, Economics, and Law (University of Gothenburg, 2026). The use of AI tools, including multimodal AI tools such as ChatGPT and Gemini, were not used to generate text, analysis, or other substantive content for the study. They were occasionally used to simplify the sometimes challenging and complex language in academic literature and to provide limited support for grammar and language review. However, no AI-generated text or information was copied directly into the thesis.

Therefore, all information and analysis presented in the text is the authors' own work or explicitly referenced from secondary sources.

4. Empirical Findings

This chapter presents the empirical findings collected through the semi-structured interviews with industry professionals connected to the international video game industry. In order to preserve anonymity, respondents are referred to as R1-R10 throughout the chapter. The findings are structured around the study's two central themes: consumer preferences and product adaptation, as well as regulatory and institutional adaptation.

4.1 Consumer Preferences and Regional Market Differences

A recurring theme throughout the interviews was that respondents identified clear regional differences in player behavior, platform preferences, monetization expectations, and game consumption patterns. However, several respondents also emphasized that such differences are often complex and difficult to isolate purely as cultural phenomena, since factors such as market penetration, platform accessibility, historical gaming traditions, community dynamics, and digital consumption habits also influence player behavior.

A number of respondents, including R1, R4, R7, R8, R9, and R10, identified substantial differences between Western and Asian gaming markets, particularly regarding platform preferences, monetization expectations, and player behavior. In the cases of R2 and R5 who could not see clear regional differences between west and east in their games, they still believed that these preferences existed on an industry wide level. Some respondents (R4, R7, R9 and R10), additionally identified India as an increasingly important emerging gaming market with player behaviors, platform preferences, and monetization expectations differing from both Western and East Asian markets. Respondents described the Indian market as rapidly growing, particularly within mobile gaming, while also being shaped by differing levels of technological accessibility and market maturity. These respondents described Asian markets as generally more mobile-oriented and more accepting of complex free-to-play monetization systems, whereas Western markets were perceived as more strongly connected to PC and console gaming and often more critical toward aggressive monetization structures.

R4 specifically emphasized that such differences are partly connected to historical platform development and economic conditions within different regions, while R9 highlighted that platform dominance may vary significantly between countries, such as PlayStation's stronger position in Japan compared to Xbox. Several respondents, including R1, R3, R7, R8, and R9,

emphasized that localization and regional adaptation remain important factors for international market penetration. R1 primarily discussed localization in relation to language translation, regional pricing, and adapting products to differing player expectations across markets. R3 instead emphasized the importance of regionally adapted marketing communication, explaining how trailers, promotional material, and communication strategies are often adjusted depending on the target audience and regional market conditions. R7 focused more strongly on how localization and regional communication may influence community building, player engagement, and long-term market visibility after release. Meanwhile, R9 emphasized that insufficient localization may significantly limit international reach and player engagement, particularly within highly competitive international markets where players increasingly expect products to feel linguistically and culturally accessible. Together, these respondents argued that games generally perform better when adapted to local languages, communication strategies, and regional market expectations across international markets.

Regarding the geographical spread of the player base it was unanimous among all respondents that they observed a fractured player base spread all around the world. Some respondents mentioned having around one third of player origination from Americas, one third from Europe and one third from Asia. Some respondents described this distribution as reflecting a broader industry pattern or an industry standard within internationally distributed video games.

Monetization expectations emerged as another recurring theme across the interviews. Several respondents, including R4, R8, R9, and R10, emphasized that monetization preferences differ substantially between Western and Asian markets. The respondents described Asian markets, particularly China, as generally more accepting of complex free-to-play monetization systems, whereas Western audiences were perceived as more critical toward “pay-to-win” structures and aggressive monetization practices. R10 additionally explained that monetization adaptation often represents one of the “lowest-hanging fruits” for international product adaptation, as firms frequently segment pricing models, offers, and purchasing systems depending on regional player behavior and spending patterns. Some respondents additionally described monetization strategies connected to downloadable content (DLC) and expansion-based business models.

In particular, R1 explained that monetization structures tied to additional paid content may occasionally be adapted regionally depending on market demand, player engagement patterns, purchasing behavior, and ongoing live-service strategies. As the respondent described, “you can clearly see increased interest in certain regions depending on broader cultural trends, films, or series, and then there may be opportunities to release content that captures that interest.” Several respondents also described how DLC releases, seasonal updates, and expansion content are often designed to maintain long-term engagement across multiple international markets simultaneously rather than targeting only a single region. Although certain themes, cosmetic elements, marketing strategies, or communication approaches may be adjusted regionally, respondents emphasized that additional content is generally distributed globally in order to maximize market reach, maintain unified player communities, and preserve globally integrated gameplay ecosystems. While R1 primarily emphasized the importance of leveraging temporary regional trends and engagement opportunities, R10 instead described DLC and live-service monetization more as continuous systems for maintaining long-term player retention and ongoing engagement across globally integrated player ecosystems.

At the same time, the respondents also emphasized that monetization structures differ substantially depending on the broader business model of the game itself. Respondents including R1, R4, and R10 explained that games without ongoing paid updates, expansions, or live-service systems are often significantly more dependent on the initial purchase price as the primary source of revenue generation. R1 described how firms operating primarily through traditional premium models may rely heavily on strong launch performance and early sales momentum, whereas live-service environments instead distribute monetization over longer periods of time through continuous engagement systems and additional content releases. R4 similarly emphasized that large AAA productions frequently involve substantially higher development costs and longer production cycles, making post-launch monetization systems and ongoing engagement increasingly important for long-term commercial sustainability. According to R4, live-service systems, expansions, and regional monetization adjustments may therefore become important mechanisms for extending product life cycles and maintaining revenue generation after release.

R10 additionally explained how monetization within live-service environments increasingly functions as a long-term engagement system rather than solely as a one-time transaction. As

the respondent described, “you are constantly trying to keep players engaged over time rather than only selling the game once.” According to R10, this creates fundamentally different strategic priorities compared to more traditional premium-release models, where commercial success is often more strongly concentrated around the initial release period.

However, several respondents also questioned whether regional market differences should primarily be interpreted as cultural phenomena. Respondents including R2, R5, and R10 emphasized that factors such as community formation, influencer exposure, esports ecosystems, platform accessibility, and changing digital consumption habits may strongly influence player behavior across markets. R5 mentioned that competitive player communities in countries such as Poland and France emerged partly through successful penetration into esports-oriented and competitive market segments rather than purely through broader national cultural preferences. According to the respondent, “once a game establishes visibility and traction within influential player communities, growth may increasingly become driven by community expansion, streaming culture, and social interaction within those ecosystems”.

Similarly, R2 argued that large international games may eventually attract highly diverse player bases across regions, making clear national preference patterns increasingly difficult to isolate. Instead, R2 described player segmentation more in terms of playstyles and behavioral categories rather than geography. R10 additionally highlighted generational shifts in player behavior, arguing that younger audiences increasingly move between platforms and games more rapidly than earlier generations. According to R10, changing digital habits and shorter attention spans may influence how firms approach long-term engagement strategies and product adaptation in the future.

Another recurring finding concerned how firms identify regional differences and player preferences. Several respondents, including R1, R5, R6, and R10, described the use of telemetry systems, market research, community feedback, player surveys, and social media monitoring in order to understand changing player behavior and regional market conditions. R1 explained that their company primarily relies on market research and player surveys to identify player behavior and preferences across markets. Similarly, R5 emphasized the importance of combining quantitative and qualitative data collection, arguing that telemetry systems provide insight into historical player behavior while surveys, community feedback, and qualitative discussions contribute to understanding future player expectations and emerging trends. R6 further explained how community managers monitor discussions across

platforms such as Discord and Facebook in order to better understand regional player communities.

Several respondents also emphasized that localization itself functions as an important mechanism for international expansion and market penetration. Respondents including R1, R3, R9, and R10 described localization as increasingly integrated into broader international product strategies rather than functioning solely as a post-production translation activity. While many firms maintain globally standardized core products, localization and selective adaptation were described as important mechanisms for aligning products with differing linguistic, cultural, technical, and commercial market conditions.

4.2 Product Adaptation and Localization Practices

The interviews also revealed that product adaptation within the video game industry extends far beyond language translation alone. Respondents described adaptation practices involving gameplay systems, monetization structures, marketing strategies, visual assets, platform adjustments, and culturally adapted content.

Localization was consistently described as a central operational mechanism for adapting games internationally. Several respondents, including R1, R3, R8, R9, and R10, emphasized that localization increasingly functions as an integrated component of international product development and market strategy rather than as a secondary post-production activity. R1 explained that localization often begins with language translation and interface adaptation but may also involve pricing adjustments, regional marketing considerations, and modifications connected to player expectations. Several respondents additionally explained that localization is increasingly integrated earlier within development processes compared to previous industry practices. Rather than introducing localization after release, respondents described how games are now more frequently developed with multilingual support and regional adaptation already incorporated during earlier stages of production. R9 also mentioned the use of community based translation, initiated and carried out by passionate community members.

Marketing adaptation emerged as another recurring theme across the interviews. R3 explained that marketing campaigns are frequently adjusted regionally through different trailers, visuals, communication strategies, and promotional material depending on the target market. As an example, R3 described how separate marketing material was created for

Chinese and Japanese audiences during a game expansion launch. Similarly, R9 described how games occasionally include regionally inspired cosmetic content, seasonal events, or culturally themed assets aimed at appealing to specific player communities.

However, R9 also emphasized that such adaptations are often relatively selective and generally do not alter the core gameplay experience. Several respondents also described how downloadable content (DLC), seasonal updates, and live-service events may occasionally be developed with particular regional audiences in mind while still remaining connected to a globally standardized core product. R10 also mentioned the use of seasonal events, but emphasised the goal of them contributing to the whole playerbase as well, and explained that they use very general names such as “holiday event” rather than “Christmas event” to cater to a larger audience. Respondents including R1, R3, R6, and R8 explained that firms sometimes release regionally themed content, cosmetic assets, or narrative elements intended to appeal more strongly to specific international markets. In some cases, respondents described how increased regional interest generated through other cultural phenomena, such as films, television series, or broader entertainment trends, may influence the timing and thematic direction of additional content releases in order to capture temporary increases in player engagement and market interest. R4 described how some internationally established games contained separate Chinese versions with modified progression systems, monetization structures, and additional gameplay complexity compared to Western versions. According to R4, these adaptations reflected both regulatory requirements and differing market expectations.

Similarly, R6 emphasized that regional adaptation may also be influenced by differing lifestyles, cultural interests, and player identities across markets. R6 explained that audiences in different regions may connect differently to realism, themes, and gameplay experiences depending on local cultural familiarity, societal attitudes, and regulatory environments. For example the respondent described how, “American audiences often respond more positively to realistic and culturally familiar experiences, whereas Chinese audiences may engage differently with the same products and therefore require alternative communication strategies, marketing approaches, and forms of implementation”.

Although, in a different type of game, with some fantasy elements connected to it compared to that of R6, a number of observations expressed by R2 had similar connections. R2 emphasized that realism and immersion often play an important role in shaping player

engagement and emotional attachment within certain game environments. The respondent explained that even when games contain fictional creatures, fantasy elements, or monsters, players still expect the overall world and experience to feel believable and internally coherent. As the respondent described, “even if there are monsters and unrealistic elements, the world still needs to feel grounded enough for players to emotionally connect to it.” According to R2, the balance between realism and fictional gameplay elements may therefore influence how players interpret and engage with games across different international markets.

R5 also emphasized the importance of recognizable and realistic environments in shaping player immersion and engagement, explaining that “players connect more strongly to experiences that feel familiar or grounded in something they can recognize.”

According to the respondent, familiarity and recognizable contexts may contribute to stronger emotional attachment and player involvement across different international markets.

R10 further described how adaptation within mobile and live-service games increasingly relies on continuous iteration and data-driven adjustment rather than large-scale redesigns of entire products. According to R10, firms frequently test monetization systems, live events, progression mechanics, and feature implementations through ongoing experimentation and player data analysis. However, R10 emphasized that firms are often hesitant to fundamentally redesign products in order to target entirely new regional audiences, since doing so may risk alienating existing player communities and disrupting established gameplay ecosystems. An example given of this was the technical limitations encountered when trying to introduce Arabic language. Due to it being read from left to right the engine was not capable of handling it and would require substantial redesign. This in turn led to the extent of which Arabic was implemented being limited to areas where workarounds could be found.

Several respondents also described the video game industry as fundamentally different from other entertainment industries due to its interactive and continuously evolving nature. Unlike more static entertainment products such as films or television series, respondents explained that video games frequently continue evolving long after their initial release through player interaction, live-service systems, community feedback, and ongoing content updates. R3 specifically described the industry as “alive”, emphasizing that game developers continuously interact with player communities throughout development and after release in ways that differ from most other cultural industries. As an example, R3 compared the industry to film and film production in particular, arguing that “directors such as Christopher Nolan do not

continuously interact with audiences during the creation of films in the same way that video game developers frequently communicate with players throughout ongoing development processes”.

Furthermore, R3 emphasized that films generally remain fixed products once released, whereas video games may continuously evolve and adapt in response to player behavior, feedback, and engagement over time. Similar observations were also expressed by R4, R6, R7, and R10, although from somewhat different perspectives connected to their respective professional areas. R4 primarily discussed this in relation to monetization systems, live-service development, and the ongoing balancing of gameplay ecosystems after release. R6 instead emphasized the importance of continuously responding to changing player interests, community expectations, and regional audience engagement over time. R7 focused more on how player communication, community interaction, and market feedback increasingly influence ongoing product development and marketing activities after launch. Meanwhile, R10 described how “live-service and mobile game environments rely heavily on continuous iteration, telemetry systems, player analytics, and ongoing feature adjustments long after the initial release of a product”.

Respondents explained that this creates a fundamentally different relationship between producers and consumers compared to industries such as film. Video games were described as products that increasingly become shaped through ongoing interaction between developers, publishers, and player communities over time. Respondents explained that player feedback, gameplay data, community discussions, streaming culture, esports ecosystems, and social media interaction may all contribute to shaping future updates, balancing decisions, monetization systems, and content strategies. A number of the respondents also emphasized that this interactive relationship creates additional pressure for firms to remain responsive to changing player expectations across different international markets. As player communities continuously evolve, firms may need to adapt communication strategies, monetization systems, live-service content, gameplay balancing, and regional implementation strategies over extended periods of time rather than solely during the initial launch phase. Respondents therefore described product adaptation within the video game industry as an ongoing process rather than a one-time adjustment connected only to market entry or localization prior to release.

Despite the various forms of regional adaptation discussed throughout the interviews, a clear pattern across several respondents was that firms rarely redesign entire games solely in response to regional consumer preferences. Respondents including R4, R5, R9, and R10 emphasized that large-scale adaptation is often constrained by existing product structures, organizational capabilities, technological dependencies, development costs, and established player communities. Instead, firms generally preferred more selective forms of adaptation, such as localization, monetization adjustments, regional marketing strategies, or limited content modifications while maintaining a globally standardized core product. Several respondents also described how major changes to gameplay structures, platforms, or business models may risk disrupting existing gameplay ecosystems or alienating established player bases, particularly within large live-service or AAA game environments.

At the same time, R1, R3, R4, R9, and R10 highlighted that adaptation may be more feasible within mobile game environments compared to large AAA productions, primarily due to lower development costs and shorter iteration cycles. Respondents explained that mobile games can often respond more quickly to changing regional trends and player preferences. R10 provided one example where character designs featuring large animated eyes were perceived positively by European audiences but negatively by some players in China and Japan, as they felt it made them uneasy, requiring visual adjustments to better align with regional audience preferences. Respondents also described how mobile and live-service environments allow firms to respond more dynamically to temporary cultural trends, entertainment phenomena, and rapidly shifting player interests across different regions.

4.3 Regulatory and Institutional Adaptation

Regulatory and institutional adaptation emerged as another major theme throughout the interviews. Several respondents emphasized that firms must continuously adapt products in response to regional legislation, censorship requirements, platform policies, age-classification systems, and institutional market conditions.

China was repeatedly described by the respondents as one of the most restrictive and institutionally complex markets within the video game industry. R1 primarily emphasized the political and cultural sensitivity of the Chinese market, explaining that certain games may be banned or restricted due to politically sensitive content, historical portrayals, or visual symbolism. Similarly, R4 described China as a market requiring extensive regulatory and

structural adaptation, including local publishing partnerships, modified game systems, and adjustments connected to monetization and progression mechanics. According to R4, foreign companies frequently require partnerships with Chinese publishers such as Tencent or NetEase in order to legally release games within the Chinese market.

Several respondents additionally connected these institutional barriers to broader distribution challenges within international video game markets. Respondents including R1, R2, and R4 explained that many international games may still circulate within China despite not being officially approved or formally released through authorized distribution channels. As discussed in Section 1.2.2 regarding grey markets, respondents described how strict licensing systems, approval procedures, and regulatory requirements may contribute to situations where players instead access games through unofficial channels, alternative platforms, or foreign storefronts when official releases are delayed, restricted, or unavailable. R2 further emphasized that firms may sometimes intentionally avoid implementing certain politically or culturally sensitive content in order to reduce the likelihood of future distribution restrictions or approval complications within the Chinese market.

At the same time, the respondents differed somewhat in how they viewed the strategic opportunities associated with the Chinese market. While R1 and R4 primarily emphasized the institutional complexity, restrictions, and operational difficulties connected to entering China, R9 instead focused more strongly on the long-term commercial opportunities associated with successfully navigating the regulatory environment. R9 explained that their company eventually achieved full legal market access within China after a lengthy process involving localization, institutional adaptation, regulatory approval, and compliance-related adjustments. According to R9, although the Chinese market requires substantial patience and adaptation from international firms, successful approval may provide access to extremely large player communities and significant commercial potential. However, R9 also emphasized that regulatory approval and market access do not necessarily guarantee commercial success, explaining that despite eventually becoming fully authorized within the Chinese market, the project itself ultimately failed commercially.

R5, on the other hand, highlighted how regional platform ecosystems and technological infrastructures may influence player engagement and emotional connection across markets. The respondent explained how certain globally familiar digital services and platforms are not equally accessible within all regions, using mapping services as an example. According to

R5, “when players cannot relate to or recognize environments, systems, or references embedded within a game experience due to differing digital ecosystems or platform accessibility, parts of the intended emotional connection and familiarity may be weakened within those markets.” This was described as particularly relevant in relation to the firm’s experience within the Chinese market, where the lack of access to certain globally familiar digital infrastructures removed the intended familiarity, immersion, and emotional connection for players compared to other international markets. As the respondent further explained, “it becomes very tough to reach and get a good player base in a country that cannot in any way truly feel connected to the game because of these limitations.”

Several respondents also highlighted how localization and product adaptation may involve modifications to visual content in response to regional cultural norms and institutional regulation. R1 primarily emphasized politically sensitive content and historical portrayals, explaining that certain symbols, references, or visual representations may create regulatory complications in markets such as China. R2 similarly discussed how developers often avoid politically or religiously sensitive symbols proactively during development in order to reduce future approval risks and distribution barriers. R4 focused more strongly on institutional adaptation connected to censorship requirements and described how skeleton imagery, excessive violence, monetization systems, and progression mechanics may require modification within certain regional markets, particularly China. Meanwhile, R9 and R10 emphasized how visual presentation and culturally sensitive content may also require selective adjustment in order to align with regional player expectations and platform requirements across international markets.

Similar examples were also discussed in relation to European markets. Respondents including R1, R2, R4, R8, and R10 specifically referenced Germany in relation to historical restrictions regarding Nazi symbolism, violent imagery, and visual representations of blood, which respondents explained have historically required modified versions of games prior to release. R4 additionally described earlier restrictions connected to blood color and violent presentation within certain European releases. R5 instead focused more on how firms proactively avoid culturally or politically sensitive elements in general in order to reduce institutional risks across multiple international markets simultaneously.

In addition to formal regulation, some respondents also highlighted culturally driven content adaptation. R9 and R10 explained that visual representations of violence, blood, and

character presentation may occasionally be adjusted differently for Japanese audiences compared to Western markets due to differing cultural expectations regarding visual presentation and aesthetic preferences. Together, these examples illustrate how video game firms may selectively adapt product elements in response to both institutional requirements and regional player expectations across international markets.

A number of respondents additionally emphasized that adaptation decisions are often influenced by platform ecosystems, monetization structures, and broader institutional conditions beyond censorship alone. For instance, R2, R9, and R10 highlighted the growing importance of age-rating systems, platform requirements, consumer laws, monetization regulation, and digital storefront policies during international product development. R2 also explained that developers frequently avoid politically or religiously sensitive symbols and that products often pass through multiple internal review stages involving localization and legal teams before release. At the same time, several respondents argued that regulatory adaptation does not necessarily restrict creative development entirely. While R2 and R10 emphasized that gameplay concepts and intended player experiences may often remain intact even if certain visual assets, symbols, monetization systems, or communication strategies require modification. R10 further explained that firms operating within live-service and mobile game environments must continuously balance player expectations, monetization systems, platform ecosystems, and long-term product sustainability across international markets.

Several respondents also emphasized that institutional adaptation extends far beyond censorship and culturally sensitive content alone. Respondents including R1, R3, R5, R9, and R10 highlighted the growing importance of data protection regulation, platform compliance standards, accessibility requirements, consumer protection laws, monetization regulation, and digital storefront policies within international game development and distribution. These forms of regulation were described as increasingly influential during both product development and international market expansion.

GDPR was specifically mentioned by multiple respondents as an important consideration when handling player data, online services, and user tracking across international markets. Some respondents additionally referred to comparable privacy and consumer data regulations within the United States, particularly legislation affecting digital services and player data management. These respondents explained that compliance with data protection regulation

increasingly affects how companies manage player accounts, analytics systems, community platforms, and monetization features. Several respondents also described how legal and compliance-related considerations are becoming more integrated into development and publishing processes as video game companies expand internationally.

R9 additionally emphasized that compliance within the video game industry is often viewed as an ongoing balancing process rather than as the complete elimination of all regulatory risk. The respondent explained that firms continuously attempt to adapt to evolving legal frameworks, platform requirements, and data protection standards while simultaneously maintaining operational feasibility within rapidly changing digital markets. As one example, R9 described how the company had implemented systems allowing players to fully remove their stored user data in accordance with data protection requirements, although “no player has actually chosen to delete all of their data.” R9 further explained the company’s broader approach to compliance by stating that firms should not aim to be “the worst,” but instead remain “good enough and continuously keep up with ongoing developments.” According to the respondent, this reflects how regulatory adaptation within digital industries increasingly functions as a continuous process of adjustment rather than a fixed state of complete compliance.

In addition to governmental regulation, for instance, R3, R9, and R10 highlighted the growing influence of platform-specific requirements imposed by console manufacturers, mobile storefronts, and digital distribution platforms. Some respondents explained that platform holders frequently impose technical standards related to accessibility, player safety, monetization transparency, and interface functionality prior to approval and release. Examples discussed by respondents, such as R4, included epilepsy-related safety requirements, accessibility standards, content labeling systems, and restrictions connected to monetization or in-game purchasing systems.

Several respondents, particularly R1, R2, R4, and R5, further emphasized that companies often attempt to proactively avoid elements that may create future regulatory or political complications within international markets. R1 primarily discussed this in relation to politically sensitive symbols, historical portrayals, and visual references that may create approval difficulties within markets such as China. R2 similarly emphasized how developers frequently avoid politically or religiously sensitive elements during development in order to reduce the likelihood of future censorship issues, regulatory complications, or distribution

barriers across markets. R4 instead focused more strongly on operational and institutional adaptation, explaining how firms may proactively adjust violent imagery, skeleton representations, monetization systems, or progression mechanics in anticipation of regional censorship requirements and platform regulations. Meanwhile, R5 emphasized how firms may also avoid controversial or culturally sensitive content more broadly in order to reduce commercial risk and avoid alienating regional player communities across international markets. According to several respondents, this type of proactive adaptation has become increasingly common as firms attempt to simultaneously navigate multiple international regulatory environments.

To summarize the empirical findings, respondents described product adaptation within the video game industry as involving simultaneous consideration of consumer preferences, organizational limitations, market opportunities, and institutional requirements. Several respondents explained that firms often maintain globally standardized core products while implementing selective forms of adaptation through localization, monetization adjustments, content modification, and region-specific implementation strategies. Respondents also highlighted that regulatory and platform-related requirements may affect development processes, monetization systems, distribution strategies, and international product planning in different markets.

5. Analysis

This chapter analyzes the empirical findings presented in Chapter 4 in relation to the study's theoretical framework and previous research. The analysis primarily draws upon the Integration-Responsiveness (IR) framework developed by Prahalad and Doz (1987) together with localization theory within the video game industry (O'Hagan & Mangiron, 2013). Through combining these perspectives, the chapter aims to examine how video game firms balance pressures for global integration with the need for local responsiveness across international markets.

The analysis focuses on how video game firms approach product adaptation in response to regional consumer preferences, institutional environments, and evolving market conditions. Particular attention is given to localization, monetization, regulatory adaptation, and the implications of live-service game development for balancing global integration and local responsiveness.

By interpreting the empirical findings through the theoretical framework, the chapter aims to identify broader patterns regarding how international video game firms navigate the relationship between standardization, adaptation, organizational limitations, and institutional complexity within increasingly global and digitally interconnected markets.

5.1 The Integration-Responsiveness Framework

The Integration-Responsiveness Framework provides a useful perspective for examining the conflicting pressures faced by firms in the video game industry and assessing their relative importance in accordance with the original purpose of the framework (Prahalad & Doz, 1987, p. 22). However, while the framework is traditionally applied to organizational structure, this analysis instead applies it through a product standardization versus adaptation perspective, rather than through the organizational structure perspective for which the framework traditionally has been used. This approach is motivated by the international and non-physical nature of video games.

5.1.1 Global Integration

One International Product

A clear pattern that emerged during the empirical collection was that video games released today, in the majority of cases, exist as a single international version across the globe. This emerged as a major factor driving product standardization while simultaneously limiting the possibilities for local responsiveness. The significance of this lies in the fact that all adaptations made to the game affect the shared international product. As several respondents explained, larger adaptations intended to cater to regional preferences may risk upsetting existing player communities and negatively affect the long-term sustainability of live-service games.

This was further emphasized by the fact that the majority of respondents described their player bases as geographically widespread. Several respondents referred to what they considered an industry norm in which roughly one-third of players originate from the Americas, one-third from Europe, and one-third from Asia. This aligns with the revenue figures presented in the background and reinforces that the video game industry is a highly international industry. This in itself creates a pressure towards maintaining a standardized product rather than pursuing regional versions.

However, these limitations are not restricted to larger adaptations, but also apply to what initially may appear to be relatively minor adjustments, such as language implementation. One example was provided by R10, who described complications encountered when implementing Arabic language support in a mobile game. Since Arabic is written from right to left, the existing game engine was unable to properly support the language. As a result, substantial technical redesigns would have been required. The issue was further complicated by the fact that such redesigns would need to be implemented in the international version of the game, meaning that additional content and data would need to be distributed to the entire player base despite only benefiting a relatively small group of users. Consequently, the firm limited the extent of the translation to elements where workarounds were possible.

This demonstrates how region-specific adaptations remain embedded within the shared international product infrastructure even when not actively used by most players. It should be noted that modern distribution platforms allow certain elements, such as language packs, to be separated into optional downloads through systems such as Steam Depots, however these systems are very limited in what elements they encapture.

Throughout the interviews, the existence of a single international version consistently emerged as a major factor limiting the extent to which product adaptations were implemented.

The Cost of Regional Versions

As explained by R6, region-specific adaptations eventually result in what operationally becomes two separate games for the firm, as each version requires independent maintenance, updates, quality assurance processes, technical support, and ongoing development resources. Even relatively minor adjustments may become increasingly difficult to maintain over time due to the expanding nature of live-service games, where new content continuously has to be integrated into all existing versions of the product.

Due to the highly investment-intensive nature of video game development and maintenance, all respondents stated that regional versions are generally avoided and are only considered for exceptionally large markets. This can be connected to what Prahalad and Doz describe as pressures for investment intensity, where industries characterized by large investments require global coordination in order to effectively leverage investments and maintain profitability (1987, p. 19).

Another factor contributing to standardization is the perception that the fundamental need fulfilled by video games remains relatively universal regardless of geographic market. This was particularly emphasized by R2 and R5, both of whom stated that they could not clearly identify region-specific player preferences. While other respondents acknowledged the existence of regional differences, they still argued that the core purpose and appeal of video games remain largely universal across markets. This corresponds to what Prahalad and Doz describe as pressures stemming from universal needs, where products fulfilling similar needs across markets require relatively limited adaptation (1987, p. 20).

5.1.2 Local Responsiveness

Despite the strong pressures for global integration identified within the video game industry, the empirical material simultaneously revealed clear pressures for local responsiveness, demonstrating the complex nature of the industry.

Regional Preferences

The majority of respondents stated that they could identify clear regional preferences among players. A recurring distinction identified by respondents was that between Western and Eastern markets. However, several respondents emphasized that this distinction represents a significant simplification, as player differences often exist at a much more localized level.

The inability of R2 and R5 to identify clear regional preferences may also reflect something analytically significant, namely that game genre, monetization models, and platform characteristics influence how regional differences manifest in player behaviour. This could suggest that the IR framework's assumption of national market differences applies unevenly across different segments of the video game industry.

Although several respondents observed regional differences in aspects such as gameplay preferences and player behavior, the extent to which these differences were addressed through product adaptation remained limited. The only cases where major adaptations had been implemented involved situations in which separate regional versions of games existed due to regulatory requirements, primarily in relation to the Chinese market. As previously discussed, extensive alterations effectively result in separate games and are therefore viewed as economically unviable.

However, respondents described several smaller forms of adaptation that were actively implemented. All respondents stated that their firms worked extensively with translation and localization of their games. This suggests that firms actively attempt to respond to consumer needs where possible. Several respondents, such as R3, also explained that firms continuously monitor the emergence of new regional player bases and introduce additional language support as these communities grow. This can be connected to what Prahalad and Doz describe as pressures arising from differences in customer needs (1987, p. 20).

Monetization Differences

Another area in which regional differences were observed concerned monetization practices. Several respondents stated that they could identify significant regional differences in how monetization systems were perceived by players. According to respondents, Western markets were generally more critical of “pay-to-win” mechanics, while such systems were perceived as more accepted in several Asian markets.

However, the extent to which firms adapted monetization systems to regional preferences remained limited. Respondents explained that monetization systems are often deeply integrated into gameplay design, making them difficult to alter without significantly affecting the overall game experience. Several respondents also raised ethical concerns regarding systems such as loot boxes and pay-to-win mechanics, arguing that such practices were viewed negatively within their firms.

This may partly reflect the fact that the interviewed firms were located in the Nordic region, where these monetization systems often are perceived as ethically problematic. Firms operating in markets such as South Korea may therefore potentially approach these systems differently.

Another frequently discussed aspect was regional pricing and differences in purchasing power, which all respondents stated that they actively worked with. As described by R6, regional pricing adjustments are often required by major distribution platforms but may also be implemented more extensively by firms themselves. This can be related to what Prahalad and Doz describe as pressures arising from differences in distribution channels, where differences in market structures and purchasing conditions create a need for local responsiveness (1987, pp. 20-21).

Regulatory Impacts

The strongest pressure for local responsiveness identified by respondents concerned what Prahalad and Doz describe as host government demands (1987, pp. 21-22). This pressure appeared in several different forms across the interviews. For R1, R3, and R4, it involved restrictions on symbols and imagery; for R10, monetization regulations; and for R9, requirements related to regional partnerships.

Out of all pressures for both global integration and local responsiveness, regulatory demands emerged as the most impactful. Regulation was also the only factor that resulted in firms

establishing regional versions of their games. Respondents further emphasized that this area is characterized by rapid and continuous change, with firms often being affected by regulations not specifically aimed at the video game industry itself, such as GDPR.

5.1.3 Dual Nature

As demonstrated throughout the analysis, the video game industry is simultaneously characterized by strong pressures for both global integration and local responsiveness. However, it's clear that they do not necessarily operate with equal weight. Global integration appears to be the main driver, pushed by the shared international product infrastructure, high investment intensity and the globally dispersed playerbase. By contrast, local responsiveness appears to operate within the boundaries created by integration pressures. This asymmetry suggests that the IR framework's two dimensions do not carry equal weight, with integration dominating in most circumstances and responsiveness operating within the space that integration leaves open.

However the complicated nature of this relationship is further emphasised by the fact that the relationship is occasionally reversed, with local responsiveness being the dominant force. These occasions are closely linked to regulatory demands originating from large markets. This indicates that regulatory demands constitute the strongest source of local responsiveness, particularly when they originate from commercially important markets. If similar demands were imposed by smaller markets, the cost of implementation would likely exceed the benefits of maintaining market access. This reversal does not undermine the general asymmetry described above but rather defines its boundaries. Integration dominates except in circumstances where sufficiently large market demands cannot be ignored on a commercial basis.

5.2 Implementing Adaptations: Game localization theory

While the pressure of global integration and local responsiveness impact the strategic aspects of product adaptation, the implementation of the changes requires a different perspective.

O'Hagan and Mangiron (2013, p. 201) emphasize that production and consumption of video games is extensively tied to cultural context. Consequently game localization extends far beyond just translation and can be seen as "cultural localization" By applying this concept to the empirical findings it is possible to examine how adaptations are implemented across different aspects of the products.

Linguistic Adaptations

Although linguistic translation is the most fundamental form of localization the empirical material shows that it can be done to varying degrees. O'Hagan and Mangiron note that translators must often exert significant agency to adapt texts to new cultural contexts, a process they describe as "transcreation" (2013, p. 201). This can be exemplified by the R10 account of encountering technical limitations. Another aspect is the way that linguistics are implemented. The earlier implementation of linguistic localization within development pipelines, as described by multiple respondents, suggests that firms increasingly recognize multilingual support as something that aids in international market penetration. This aligns with O'Hagan and Mangiron's argument that localization functions as a strategic market entry mechanism rather than merely a translation activity. The use of community based translations as mentioned by R9 closely mirrors what O'Hagan and Mangiron call "fan translation on the internet". By leveraging highly engaged player communities, firms can achieve local responsiveness and break into new linguistic markets without expanding internal development costs, which as previously demonstrated is a big constraint.

Cultural Adaptations

Beyond language, video games contain visuals and narrative that reflect different cultural elements. O'Hagan and Mangiron (2013, p. 205) highlight that players in different regions have distinct preferences regarding character design, with Western audiences historically preferring realistic aesthetics while Asian markets may favour different stylizations. This aligns closely with the empirical findings, where R9 and R10 noted that visual representations of characters and aesthetics are sometimes adjusted between Japanese and Western audiences. Furthermore, cultural elements can be tied to additional gameplay. One example is the release of additional downloadable content (DLC) targeted at specific regional

audiences as R1, R3 and R6 mentioned. However they emphasised that a DLC may target a specific market but still contributes new content to the whole of the player base. This illustrates how firms can respond to regional preferences without fragmenting the product into separate regional versions. This is largely tied to these firms' choice of monetization but a similar strategy can be seen for firms with other methods of monetization. The use of culturally themed seasonal events, such as Christmas, Lunar New Year and Halloween as described by R9 and R10, also represent a form of adaptation that serves a local and global purpose at the same time. These events are made to appeal specifically to select regional parts of the player base, while simultaneously providing additional content for the entire player base. This is further illustrated by R10 mentioning deliberately not naming events as Christmans or Chinese new year, but rather more general names such as Holiday event or Lunar new year, to garner a broader appeal. This functions as a low-cost mechanism for local responsiveness that does not require separate regional versions and reflects the broader pattern of selective adaptation within globally standardized products.

Technical Adaptations

To manage the high costs of localization, developers increasingly strive for "cross-cultural game design," developing games with an international appeal that do not require much modification for different territories (O'Hagan & Mangiron, 2013, p. 208). This aligns very well with the "single international version" as discussed in the section. Notably, this cross-cultural design approach has arguably grown even more vital since 2013 due to the rise of live-service infrastructures and the need to continually support a released game. Technical adaptations are paradoxically, characterized by firms trying to avoid having to implement localized technical adaptations. This is due to the high cost associated and the risk of ending up with two separate games to maintain. The respondents clearly indicate that technical integration remains the dominant strategy to maintain operational efficiency.

Monetization and Gameplay Adaptations

O'Hagan and Mangiron (2013, p. 205) observe clear regional divergences in gameplay preferences, noting that Western players generally prefer open, non-linear action games, whereas Japanese audiences often favour narrative-driven or linear mechanics. The empirical data expands on this by revealing that modern gameplay adaptation is deeply intertwined with monetization structures. Respondents identified a significant cultural divide where Western markets remain highly critical of "pay-to-win" mechanics, whereas such systems are more culturally accepted in Asian markets. However, because monetization systems are

intimately integrated into the core gameplay loops, firms rarely adapt them regionally. The high investment intensity required to separate these core systems means that firms generally deploy standardized monetization models globally, despite recognizing clear regional differences in consumer acceptance.

Regulatory and Institutional Adaptation

O'Hagan and Mangiron discuss regulatory and institutional adaptation from two main avenues, age ratings and censorship (2013 p.217-228). The empirical findings show that both elements occurred, where age ratings was something the majority of respondents mentioned, however with varying degree of implications. Censorship was less common and only R1,R3 and R4 mentioned actively having censored versions. It should be noted that several respondents did say they actively avoided elements that they know potentially could be at risk of being censored or removed but were clear with not using actual censorship. However even if they don't actively censor things, the deliberate avoidance of different elements results in a form of de facto censorship where the regulation has the same desired effect regardless. A new aspect not mentioned by O'Hagan and Mangiron is the emergence of data protection law, such as GDPR. This was an aspect most respondents mentioned having been impacted by, especially for an already long running live-service game where this had to be implemented retroactively. However, to what extent these regulations actually are enforced is unclear and it might be more of a question of not being the worst at it, as mentioned by R9.

5.3 Synthesis of the Theoretical Perspectives

Together, the Integration-Responsiveness (IR) framework and Localization Theory provide a more comprehensive understanding of product adaptation within the video game industry. While the IR framework explains the strategic pressures associated with global integration and local responsiveness, localization theory helps explain the specific dimensions through which adaptation occurs. Examining the findings through both perspectives reveals how video game firms maintain globally integrated products while simultaneously responding to differing consumer preferences, market conditions, and institutional environments.

Rather than representing opposing strategic choices, the analysis suggests that global integration and local responsiveness frequently appear as complementary objectives. The findings indicate that firms generally seek to preserve globally standardized core products while selectively adapting specific elements in response to regional differences. This implies that product adaptation within the video game industry is best understood as a continuous

balancing process in which firms pursue efficiency, scalability, and international reach while remaining responsive to local market conditions.

5.3.1 Cross-Cultural Design and Global Standardization

One recurring theme across the interviews was the preference for maintaining a single international product version despite operating across markets characterized by differing consumer preferences, cultural norms, and regulatory conditions. Respondents frequently emphasized the economic and technical challenges associated with maintaining multiple regional versions, particularly within live-service environments where content updates, quality assurance processes, and ongoing maintenance must be coordinated across all active versions.

Through the perspective of the IR framework, this pattern can be interpreted as a response to pressures for global integration. Prahalad and Doz (1987, pp. 19-20) argue that multinational firms face pressures to achieve efficiency and reduce costs through greater integration of international operations. The respondents' emphasis on maintaining unified global products reflects these pressures, as regional product fragmentation was consistently associated with increased development costs, operational complexity, and long-term maintenance challenges.

At the same time, localization literature suggests that adaptation does not necessarily require extensive market-specific modification after release. O'Hagan and Mangiron (2013, p. 208) describe how cross-cultural game design may be used to reduce future localization requirements by designing products with broader international appeal from the outset.

Viewed in this way, the findings suggest what may be described as a standardization paradox. Although cross-cultural design is discussed within localization literature as a means of reducing future localization requirements (2013, p. 208), its function in practice appears closely connected to the maintenance of globally standardized products. Adaptation considerations are incorporated during development not necessarily to facilitate future market-specific modifications, but to reduce the need for such modifications altogether. Therefore, the findings suggest that localization-related considerations may contribute to global integration as well as local responsiveness.

The interpretation is further supported by respondents who questioned the extent of regional differences and instead emphasized similarities in how players engage with games across

markets. From this perspective, the pursuit of broad international appeal may be understood not only as a response to economic and technical constraints, but also as a reflection of the belief that many player motivations transcend the national and regional boundaries.

5.3.2 Institutional Pressures and Proactive Content Avoidance

Another recurring pattern in the findings was that respondents rarely described creating separate regional versions in response to regulatory requirements. Instead, several respondents discussed avoiding or modifying potentially problematic content during development in anticipation of future regulatory challenges. This was particularly evident in discussions concerning censorship requirements, culturally sensitive themes, and market-access restrictions within certain international markets.

This pattern can be interpreted through the combined perspectives of the IR framework and localization theory. Here, on the one hand, the IR framework, highlights how firms operating internationally face pressures to respond to differing institutional environments, while on the other hand localization literature emphasizes that adaptation may involve modifications related to regulatory requirements and culturally sensitive content. Rather than responding to such pressures through extensive regional differentiation, the findings suggest that firms oftentimes instead strive toward preserving their globally integrated products by adjusting content within the shared product itself. Several respondents explicitly described modifying or avoiding content in response to anticipated regulatory constraints. This suggests that regulatory considerations may influence product design decisions long before products are formally reviewed by regulatory authorities. Rather than responding only after specific compliance requirements are identified, firms appear to anticipate potential regulatory challenges during development and adjust content accordingly.

The pattern may be understood as a form of proactive de facto censorship. Although respondents did not always use this terminology themselves, the findings suggest that firms may voluntarily avoid or modify potentially sensitive content in order to reduce future market-access risks and regulatory uncertainty. This was particularly evident in discussions concerning markets such as China, Germany, and Japan, where historical, political, cultural, or violence-related content was described as potentially problematic.

5.3.3 Market Structure and the Strategy of Integrated Monetization

The findings also indicate that regional differences in monetization preferences remain among the most difficult forms of adaptation for video game firms to address. Several respondents described substantial variation in consumer attitudes toward monetization systems, particularly between Western and Asian markets. While Western audiences were frequently described as critical of "pay-to-win" mechanics, respondents characterized many Asian markets as more accepting of complex free-to-play structures and monetization-driven progression systems.

This variation becomes particularly interesting when viewed alongside the industry's preference for maintaining globally integrated products. Localization literature identifies monetization as one dimension through which adaptation may occur (O'Hagan & Mangiron, 2013, p. 205), yet the findings suggest that such adaptation is often limited in practice. Respondents repeatedly emphasized the complexities associated with maintaining multiple product versions. This challenge is interpreted as especially relevant when monetization systems are closely integrated with gameplay loops, progression systems, and broader technical infrastructures.

The experience described by R9 illustrates this tension. Despite successfully obtaining regulatory approval to enter the Chinese market, the firm ultimately chose not to proceed because its existing monetization model did not align with local consumer spending patterns. This suggests that institutional responsiveness alone may not be sufficient for successful market entry. Even when regulatory barriers can be overcome, firms may still face challenges related to market-specific consumption patterns and revenue expectations.

Looking through the lens of the IR framework and localization theory as a combined perspective, this case highlights the interaction between pressures for local responsiveness and the constraints created by globally integrated product structures.

Although firms may recognize substantial differences in consumer preferences across markets, adapting monetization systems can require changes that extend beyond isolated product features. As a result, monetization appears to represent an area where responsiveness is frequently constrained by considerations related to operational efficiency, technical integration, and long-term product maintenance.

5.4 Reflections on the Use of the Theoretical Frameworks

The integration-responsiveness (IR) framework developed by Prahalad and Doz (1987) proved highly useful for understanding the simultaneous pressures for global integration and local responsiveness identified within the empirical material. Several empirical observations aligned closely with the framework's original assumptions regarding the strategic tensions faced by multinational firms. This suggests that the framework remains highly applicable for analysing strategic tensions within internationally distributed digital products.

In particular, the importance of globally standardized core products, unified international game versions, and relatively universal player needs reflected the integration pressures described by Prahalad and Doz (1987, pp. 19-20). Respondents consistently emphasized the importance of maintaining unified global products while avoiding costly regional versions that would increase technical and operational complexity. Similarly, observations related to localization, regulatory requirements, regional pricing, and differing consumer preferences corresponded closely to the framework's responsiveness pressures associated with customer needs, host-government demands, and market differences (Prahalad & Doz, 1987, pp. 20-22).

However, the empirical findings also indicate that several characteristics of the contemporary video game industry are not fully captured within the framework's original context. While Prahalad and Doz primarily discuss multinational firms in relation to organizational coordination and geographically differentiated national markets (1987, p. 22), respondents described how product adaptation within the video game industry is increasingly shaped by shared international game versions, live-service systems, platform ecosystems, and globally interconnected player communities. These conditions create technical and operational constraints that may limit the feasibility of extensive regional adaptation even when firms identify clear regional differences between markets.

Respondents also emphasized that responsiveness pressures increasingly emerge not only from national governments, but also from platform requirements, monetization regulation, digital distribution infrastructures, and data protection frameworks such as GDPR. Consequently, the findings suggest that product adaptation within the contemporary video game industry operates within a more digitally interconnected and continuously evolving environment than the industrial context in which the IR framework was originally developed.

At the same time, localization theory as presented by O'Hagan and Mangiron (2013) proved highly useful for understanding how firms operationalize adaptation within these constraints. Rather than implementing extensive market-specific redesigns, respondents instead described selective forms of adaptation related to language, monetization, regulation, cultural elements, and technical implementation.

Localization therefore appears to function as a central operational mechanism through which firms balance pressures for global integration with the need for local responsiveness within international video game markets, thereby connecting the strategic tensions identified within the IR framework to the practical implementation of product adaptation.

6. Conclusions

This chapter concludes the study by summarizing the main finding and discussing the study's overall contributions in relation to the research purpose and the research question.

The conclusion highlights the answer to the research question: *How do video game firms strategically approach and implement product adaptation within international markets?*

Furthermore, the chapter discusses the strategic role of localization, the increasing importance of institutional adaptation, and the interactive nature of video games as continuously evolving products within global digital markets.

6.1 Summary of Results

The purpose of this study was to examine how video game firms strategically approach and implement product adaptation within international markets, with particular focus on regional consumer preferences and regulatory compliance.

By combining the Integration-Responsiveness (IR) framework with localization theory, the study sought to understand how firms balance global standardization with local adaptation within the increasingly international and institutionally complex video game industry.

The results demonstrate that video game firms rarely pursue either complete global standardization or fully localized regional products. Instead, firms primarily approach product adaptation through selective responsiveness, where globally standardized core products are maintained while specific elements are adapted in response to regional market conditions, consumer preferences, and institutional requirements.

The study further shows that localization within the contemporary video game industry extends beyond linguistic translation alone. Localization is an increasingly integrated strategic and organizational process connected to product development, monetization systems, live-service operations, player engagement, and long-term international expansion. Firms were found to continuously monitor telemetry systems, community feedback, player behavior, and social media interaction in order to identify changing regional preferences and evolving market conditions after release. Product adaptation therefore appears not only as a pre-release activity, but also as an ongoing operational process.

A particularly significant aspect concerns the interactive and continuously evolving nature of video games as products. These results suggest that the video game industry differs fundamentally from more static entertainment industries such as film due to the ongoing interaction between developers and player communities after release. Video games are “living” products that continue evolving through live-service systems, updates, balancing decisions, downloadable content, and player interaction over time. Consequently, adaptation within the video game industry appears more dynamic and continuous than traditional international business models may initially imply.

The results additionally indicate that regulatory and institutional adaptation plays a central role within international video game operations. Firms were found to continuously navigate censorship requirements, age-classification systems, data protection regulation, platform policies, monetization regulation, and digital storefront requirements across international markets. China is seen as the most institutionally complex market due to censorship systems and publishing restrictions, while GDPR and platform-related compliance requirements are becoming increasingly influential across Western markets as well.

In terms of answering the research question: *How do video game firms strategically approach and implement product adaptation within international markets?*

The study suggests that video game firms strategically approach product adaptation by balancing globally standardized core products with selective forms of local adaptation across international markets. Rather than fundamentally redesigning entire games for specific regions, firms primarily implement targeted adaptations through localization, monetization adjustments, regionally adapted marketing communication, content modification, platform-specific implementation strategies, and regulatory compliance measures. At the same time, firms attempt to maintain globally integrated gameplay ecosystems, unified player communities, and operational efficiency across markets.

The study further indicates that adaptation within the video game industry increasingly functions as a continuous and dynamic process rather than as a one-time adjustment connected solely to market entry or pre-release localization. Due to the interactive and evolving nature of video games, firms continuously monitor player behavior, telemetry systems, community feedback, social media interaction, and market trends in order to adapt products over extended periods of time after release. Product adaptation therefore appears

closely connected not only to cultural and regional differences, but also to live-service operations, technological infrastructures, monetization systems, institutional requirements, and ongoing player engagement strategies.

Overall, the study indicates that international video game firms operate within a highly dynamic environment where successful international expansion increasingly depends on the ability to combine global coordination with flexible and selective responsiveness across rapidly changing digital markets.

6.2 Theoretical Contributions

This study contributes to previous research by extending localization literature beyond translation-focused perspectives, particularly those emphasized by O'Hagan and Mangiron (2013), and connecting localization more directly to international business theory and strategic product adaptation. While previous localization research has primarily focused on linguistic translation, cultural adaptation, and technical implementation, this study demonstrates how localization within the contemporary video game industry increasingly functions as an integrated strategic and organizational capability connected to monetization systems, live-service operations, player engagement, telemetry systems, and long-term international expansion. The study therefore contributes by addressing a gap concerning how localization intersects with broader international business processes and continuously evolving digital product ecosystems.

The study further contributes to international business research connected to the Integration-Responsiveness (IR) framework developed by Bartlett and Ghoshal (1989). While the IR framework traditionally emphasizes the balancing of global integration and local responsiveness within multinational firms, the results of this study suggest that adaptation within the video game industry involves a more continuous, dynamic, and technologically embedded balancing process shaped by organizational limitations, live-service systems, player interaction, and institutional complexity. The study therefore contributes to understanding how highly digitalized and interactive industries may challenge more static assumptions within traditional international business frameworks.

The findings indicate that successful adaptation requires more than regulatory compliance and market access. Even where firms achieve institutional responsiveness,

commercial success may remain dependent on alignment with local consumer preferences and monetization expectations.

Furthermore, the study contributes to the understanding of how digital entertainment industries may operate differently from more traditional international business environments due to the interactive and continuously evolving nature of video games as products. The study indicates that adaptation processes within live-service and digitally connected industries may be more dynamic and ongoing than traditional international business frameworks have historically assumed.

6.3 Practical Implications

The study suggests that video game firms may benefit from approaching localization and adaptation as integrated strategic capabilities rather than isolated post-production activities. Respondents emphasized the importance of combining localization, monetization strategies, market research, telemetry systems, community management, and regulatory compliance within broader international product development processes.

The study also highlights the growing importance of flexibility and continuous player engagement within international game development. Firms operating within live-service and digital platform environments may increasingly need to continuously monitor player behavior, regional market conditions, and evolving institutional requirements in order to remain competitive across international markets.

This study may also provide practical insights for entrepreneurs, managers, and firms operating within the increasingly globalized video game industry. The study highlights that international product adaptation rarely involves complete redesigns of products, but instead often relies on selective and strategically coordinated adaptation practices connected to localization, monetization, regulatory compliance, marketing, and community engagement. Understanding how firms balance global integration with local responsiveness may therefore provide valuable guidance for companies seeking to expand into international markets while maintaining scalable product structures and globally consistent player experiences.

6.4 Limitations and Suggestions for Future Research

Several limitations should be acknowledged within this study. First, the study is based on a qualitative research design involving ten semi-structured interviews, meaning that the findings cannot be generalized statistically across the entire video game industry. The study instead aims to provide analytical and contextual understanding of adaptation strategies within international video game operations.

Second, the respondents represented different professional roles, companies, and market experiences, which may have influenced how adaptation practices and industry dynamics were interpreted. Additionally, most respondents were connected primarily to European firms and perspectives, meaning that viewpoints from companies operating directly within Asian or North American markets may be underrepresented.

Finally, the video game industry is rapidly evolving due to technological development, live-service models, platform ecosystems, and changing consumer behavior. Consequently, some industry practices and strategic approaches discussed throughout the study may continue evolving after the completion of the research process.

Based on these limitations, several opportunities for future research can be identified. Future studies could further examine how live-service models and ongoing player interaction influence international adaptation strategies within digital entertainment industries. Additional research may also investigate how platform ecosystems, artificial intelligence, algorithmic recommendation systems, and player analytics increasingly shape localization and international product adaptation processes.

Furthermore, future research could compare adaptation strategies between different segments of the video game industry, such as AAA studios, indie developers, and mobile game companies, in order to better understand how organizational size, technological capabilities, and business models influence international adaptation practices. Comparative studies between the video game industry and other digital entertainment industries may also contribute to a deeper understanding of how interactive products reshape traditional theories of international business, localization, and cultural adaptation.

6.5 Final Remarks

The study further suggests that successful international adaptation within the video game industry increasingly requires flexibility, continuous learning, and responsiveness to rapidly changing market conditions. Due to the interactive and “living” nature of video games, firms must continuously monitor player behavior, community feedback, regulatory developments, and platform ecosystems long after product release. International product adaptation therefore appears not as a one-time market entry activity, but rather as an ongoing strategic process shaped by evolving consumer expectations, technological development, and institutional complexity.

In conclusion, this study contributes to a broader understanding of how international video game firms navigate the increasingly complex relationship between global integration, local responsiveness, and continuous digital interaction. The findings indicate that product adaptation within contemporary digital industries is becoming increasingly dynamic, iterative, and strategically embedded across organizational, technological, and institutional dimensions. As interactive entertainment markets, such as the video games industry continue to evolve globally, understanding how firms manage these balancing processes may become increasingly important for both future research and international business practice.

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